

FOOD MACHINERY AS AN INVESTMENT OPPORTUNITY

As 1931 unfolded and I cast about seeking an opportunity for my infant business, I looked upon Food Machinery's situation with increasing excitement. Recognizing the costliness of my not having taken the trouble to meet with and judge the managements of the two local companies in which I had lost such a large percentage of my investment a few years before, I determined never to make this mistake again. The more I got to know the Food Machinery people, the greater my respect for them grew. Because in many ways this company, as it existed in the depths of the Great Depression, was a microcosm of the type of opportunity I was to seek in the years ahead. It may be helpful to explain just what it was that caused me nearly a half century ago to see such a future in this particular corporation.

Parenthetically and unfortunately, I did not carry my policy of indepth field analysis through to its logical conclusion in the immediate years. I was less diligent in getting to know and to judge managements that were located in more distant areas.

In the first place, even though Food Machinery was relatively small, it was a world leader in size and, I believe, in quality of the product line in each of the three activities in which it was engaged. This gave the firm the advantage of scale; that is, as a large and efficient manufacturer the firm could also be a low-cost producer.

Next, its marketing position was, from a competitive standpoint, extremely strong. Its products were highly regarded by its customers. It controlled its own sales organization. Furthermore, its canning machinery lines, with a large number of installations already in the field, had a "locked up" market of some proportions. This consisted of spare and replacement parts for the equipment already in the field.

Added to this sound base was the most exciting part of the business. For a company of its size, the firm enjoyed a superbly creative engineering or research department. The company was perfecting equipment in promising new product areas. Among these were the first mechanical pear peeler ever to be offered to the industry, the first mechanical peach pitter, and a process